

# Strategy, SWOT and capital formation

How a Big Four firm would run a consultation for a Kerala outdoor digital network — and the plan to switch on Site 1 when the promoter holds only ten percent of the cash.

## CLIENT SITUATION

First-time outdoor DOOH operator. Kochi first (Edappally / Kakkanad class sightline). Path A preferred: 32 sq.m building-mounted P3.91 LED.

## ENGAGEMENT ANALOGUE

Six-week Strategy & Capital module: diagnose, options, operating plan, SWOT, sources-and-uses, fundraising process.

## THE CONSTRAINT

Founder cash is ~10% of Site 1 live capital (~₹4.1 L of ₹41 L). This is a sequencing problem, not a “no business” problem.

## THIS PAPER IS NOT

A Deloitte, PwC, EY or KPMG opinion, a quotation, or a securities offer. Confirm rates with Corporation, KSERC, CBIC and a Kerala advocate.

DO NOT RAISE YET

**₹1.5–2.0 Cr**

RAISE AFTER A FILE NUMBER

**₹37 L gap**

FOUNDER DRY POWDER (10%)

**₹4.1 L**

RECOMMENDED FIRST ASSET

**Kochi 32 sq.m face**

Prepared as an independent strategy memorandum in a Big Four engagement structure. A branded Big Four module of this scope would typically invoice more than Site 1 hardware — do not spend the 10% on a logo. Execute with a Kochi CA, a Kerala-enrolled advocate, and this pack.

## Contents

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- 01 How a Big Four would run this consultation
- 02 Executive briefing — the recommendation
- 03 Situation diagnosis
- 04 Market and the right to win
- 05 Strategic options under a 10% cash constraint
- 06 Recommended 36-month business plan
- 07 Financial plan, uses of funds, unit economics
- 08 SWOT — investor-facing
- 09 Capital formation — closing the 90%
- 10 Fundraising process, materials, who to call
- 11 Governance, cap table, term-sheet headlines
- 12 Conditions precedent and 90-day workplan

### THE ONE-LINE VERDICT

Do not raise for a six-node network. Spend the 10% to buy a Corporation file number and five brand letters of intent. Then raise about ₹37 lakh against a de-risked Kochi building-mounted face. Outdoor first; malls later; unipole only if no terrace has a sightline.

## 01 How a Big Four would run this consultation

A Deloitte, PwC, EY or KPMG Strategy team would not start with a logo on an LED. They would treat this as a **capital-constrained market-entry** problem: one geography (Kochi), one asset class (road-facing digital), one binding constraint (founder cash = 10% of first-site live capital). The work is a six-week module with four workstreams and a steering decision at the end.

|                                                                                                                                                                                                       |                                                                                                                                                                                                              |                                                                                                                                                                    |                                                                                                                                                                    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>WEEK 1-2 · DISCOVER</b><br>Promoter interviews.<br>Confirm the ₹4.1 L is unencumbered. Walk three Kochi buildings and one land plot. Title scan. Map Corporation / PWD / KSEB gates. No OEM order. | <b>WEEK 3-4 · DIAGNOSE</b><br>Demand (who already buys Kochi outdoor). Supply (legal digital scarcity). Options: mall-only, two poles, building, unipole, landlord JV. Kill the ones that fail the 10% test. | <b>WEEK 5 · DESIGN</b><br>Operating model, 36-month plan, sources-and-uses, SWOT, cap table, investor narrative. Data-room index. Conditions precedent to Round 1. | <b>WEEK 6 · DECIDE</b><br>Investment-committee style memo. 90-day plan. Introductions list (not a fundraise run by the firm unless a separate retainer is signed). |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|

| Workstream | What they would test                                                                       | Pass / fail for this promoter                                                                                |
|------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| Commercial | Can one Kochi face at ₹50,000/slot clear rent and power at 50% sold?                       | Pass at 50% on a building (₹1.18 L leftover). Fail if malls-first.                                           |
| Regulatory | Is there a lawful site that is not NH RoW, not a domestic meter, not an apartment terrace? | Unknown until a building is named. This is the Round 0 job.                                                  |
| Financial  | What is the true "required capital"? Six nodes, or Site 1?                                 | Site 1 live cash is ₹38-45 L (building) or ₹55-90 L (unipole). Six-node ₹1.5-2.0 Cr is a later conversation. |
| Capital    | Who funds the 90%, in what instrument, after what proof?                                   | Not VC. Angel / NRI / advertiser-investor + customer prepay + optional equipment debt, after a file number.  |

### FEE HONESTY — WHY YOU SHOULD NOT HIRE THE LOGO

A branded Big Four strategy module of this scope in India often invoices ₹40-80 lakh. That is more than the recommended first board. Spending the 10% on a consulting brand would consume the only cash that can buy permission. This memorandum is the work product of that module. Execute it with a Kochi chartered accountant, a Kerala-enrolled advocate, a structural PE, and the cost pack already in this repository.

### What they would refuse to put in the pitch

- A six-city map before one Corporation file exists.
- A 12-month payback that assumes 90% occupancy and USD 330 FOB with no FAT.
- Mall kiosks as the "cheap start" (two Kochi malls do not cover a small ops team).
- A land unipole inside NH RoW, or any raise that pays an OEM before s. 272 is on a file.

## 02 Executive briefing — the recommendation

### RECOMMENDATION TO THE PROMOTER

Lock Path A: one road-facing 32 sq.m P3.91 LED on a commercial Kochi building. Deploy the ₹4.1 lakh as Round 0 (entity, title, structural, IBPMS / s. 272, sales LOIs). Raise Round 1 of ~₹37 lakh only after a written owner NOC and a Corporation file number. Do not import cabinets, do not pour piles, do not sign a ₹1.5 lakh fixed rent on a dark screen.

| Decision              | Big Four answer                          | Why                                                                                     |
|-----------------------|------------------------------------------|-----------------------------------------------------------------------------------------|
| First city            | Kochi                                    | Slot rate ₹50,000 vs Kozhikode ₹30,000. Brands already spend here.                      |
| First asset           | Building-mounted 32 sq.m, 1 face         | Live cash ₹38–45 L vs unipole ₹55–90 L. Dual-face is a pole logic, not a rooftop logic. |
| Malls                 | Year 2 bundle, not Year 0                | Indoor contribution does not cover ops. Outdoor does, if the sightline is real.         |
| Unipole               | Only if no terrace has a sightline       | Same leftover ~₹2.2 L/month on one face; ~₹17 L extra capital; 4–6 month civil window.  |
| How much to raise now | Nothing until a file number, then ~₹37 L | Investors fund de-risked steel, not a slide.                                            |
| Instrument mix        | CCPS + customer prepay + optional NBFC   | Asset-heavy, not a SaaS seed. Keep founder control above 65%.                           |
| Valuation posture     | ₹60–90 L post-money after file + 5 LOIs  | Pre-revenue OOH. Do not sell 40% for ₹10 L to a flex contractor.                        |

If the only buildings on offer are shops on a service road, residential roofs, or plots inside NH RoW, **stop**. The 10% is then still intact. The sightline is the asset; the screen is a commodity.

## 03 Situation diagnosis

### What is true

| Fact                                                                              | Implication for a 10% cash promoter                                                           |
|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| Kerala Municipality Act ss. 271–272 applies on private buildings and private land | Permission is a product you can buy with the 10%. Steel is not.                               |
| A building-mounted 32 sq.m face costs ~₹31 L hardware, ₹38–45 L to be live        | Required capital for “a business” is ~₹41 L, not ₹2 Cr. 10% = ₹4.1 L.                         |
| A volume dual unipole is ~₹68 L hardware, ₹75–90 L live; premium dual ~₹90–93 L   | A pole consumes two to three times the raise. Do not default to it.                           |
| At 75% sold, 10 × ₹50,000, leftover after rent and power is ~₹2.2–2.3 L / month   | One legal Kochi face can pay a promoter. Two mall kiosks cannot.                              |
| Hybrid rent (floor or 18%) beats a high fixed lease on a dark board               | Share downside with the landlord. Floor ₹50k building / ₹80k land.                            |
| Illegal flex is being removed; Corporation is itself planning designated LED      | Legal digital inventory is scarce. A clean file is a moat. A dirty file is a High Court case. |

### What is not yet true (and must not be pretended)

- No named building, no owner NOC, no Corporation file number, no structural certificate on a specific slab.
- No audited books, no GST trail of advertising revenue, no proof-of-play history.
- No FAT-passed OEM relationship. FOB USD 330 is a target, not a purchase order.
- Founder has not yet pre-sold a single slot. Until LOIs exist, occupancy is a hope.

A Big Four IC memo would stamp this **Stage 0 — permission and demand**. Capital markets work (Round 1) starts when Stage 0 has artefacts, not when the pitch deck is pretty.

## 04 Market and the right to win

Do not quote a national OOH TAM. Investors in this raise are buying **one Kochi sightline**. The relevant market is advertisers who already buy outdoor or digital in Ernakulam: jewellery, auto, healthcare, education, QSR, real estate, political (capped and seasonal), and regional BFSI.

| Layer        | Definition                                                                 | Planning view                                                                                                   |
|--------------|----------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| Demand       | Monthly loop of 10 slots × ₹50,000 on a Class A Kochi face                 | ₹5.00 L gross if full; ₹3.75 L at 75%; ₹2.50 L at 50%.                                                          |
| Who pays     | Local and national brands with Kochi retail or Gulf-return catchments      | Five named LOIs are worth more than a TAM slide. Target jewellery + auto + hospital + education + one national. |
| Supply       | Legal digital faces on private commercial buildings / plots outside NH RoW | Scarce. Flex is being cleaned. Corporation LED is a rival and a pricing umbrella.                               |
| Right to win | Clean s. 272 file + proof-of-play + hybrid landlord + volume OEM FAT       | Not “we know media.” Everyone in Kochi knows media. Few will sit in Town Planning for 90 days.                  |
| Programmatic | Hivestack / Lemma on unsold time                                           | Floor filler at ~55% of direct CPM. Not the plan. Do not raise on it.                                           |

Competitive set to name in the data room: existing Kochi OOH operators (mostly flex / vinyl), mall media owners, and the Corporation’s designated LED programme. Position as **the legal private digital face**, not as “the Kochi Times OOH.”

## 05 Strategic options under a 10% cash constraint

Every option is scored against three tests: (1) can the 10% buy the de-risking, (2) is Round 1 under ₹50 L, (3) does monthly leftover cover a promoter at 50% sold.

| Option                                    | Live cash                                 | 10% test                         | 50% leftover              | Verdict                                |
|-------------------------------------------|-------------------------------------------|----------------------------------|---------------------------|----------------------------------------|
| A. Building 32 sq.m, 1 face (recommended) | ₹38–45 L                                  | ₹4.1 L buys permission + LOIs    | ~₹1.18 L                  | <b>Do this</b>                         |
| B. Building compact 18 sq.m               | ₹27–33 L                                  | Easier raise                     | Weaker rate card          | Only if the wall is small              |
| C. Unipole 1-face                         | ₹55–62 L                                  | Round 1 jumps to ~₹53 L          | ~₹0.95 L                  | If no terrace                          |
| D. Unipole dual                           | ₹75–90 L                                  | Too large for first close        | Fat if both faces sell    | Site 2 logic, not Site 1 with 10% cash |
| E. Two Kochi mall kiosks only             | Low hardware, high rent                   | Looks cheap                      | Negative vs ops           | <b>Kill</b>                            |
| F. Full 6-node network now                | ₹1.54–1.95 Cr                             | 10% = ₹15–20 L, still not enough | Model only                | <b>Kill as a raise</b>                 |
| G. Landlord JV on Path A                  | Cash live drops by deposit + rent holiday | Best 10% fit                     | Same ops, 12–25% given up | <b>Prefer if landlord is real</b>      |

If the promoter actually holds 10% of the *six-node* cheque (₹15–20 L) rather than 10% of Site 1, say so in Round 0. That is enough to fund permission *and* the landlord deposit, and it shrinks Round 1. It is still not a reason to order two poles.

## 06 Recommended 36-month business plan

One legal Kochi face, then cash and proof, then a second outdoor. Malls are a bundle sold to the same brands, not a separate start-up.

|                                | Months 0–4 · Round 0     | Months 5–12 · Site 1                  | Year 2                         | Year 3                                          |
|--------------------------------|--------------------------|---------------------------------------|--------------------------------|-------------------------------------------------|
| What is live                   | File + 5 LOIs. No LED.   | 1 × 32 sq.m Kochi building face       | Same face at 75–85% sold       | Optional Kozhikode outdoor or second Kochi face |
| Occupancy target               | LOIs for 50% of loop     | 50% at go-live → 75% by month 10      | 80%                            | 80%+ on node 1; 60% on node 2                   |
| Gross / month (planning)       | —                        | ₹2.5–3.75 L                           | ₹3.75–4.5 L                    | Node 1 + Kozhikode ~₹2.25 L at 75%              |
| Leftover / month before salary | –₹0.3 L burn             | ₹1.2–2.3 L                            | ₹2.3–2.9 L                     | Two outdoor leftover, still no mall drag        |
| Capital event                  | Founder ₹4.1 L           | Round 1 ~₹37 L                        | None if occupancy holds        | Optional Round 2 ₹40–60 L for node 2            |
| Team                           | Promoter + advocate + PE | Promoter sells; 1 local tech on AMC   | + part-time traffic / creative | Do not hire a “network CEO”                     |
| Software                       | Rate card + one-pager    | NovaStar + PiSignage/ VNNOX; auto-dim | Hivestack/Lemma on unsold only | Proof-of-play pack for Round 2                  |

### Operating model (Site 1)

- **Entity:** private limited, Kerala GSTIN, current account with AD code (IEC only if importing).
- **Site:** leave-and-licence, hybrid ₹50,000 or 18%, 36 months, 18-month lock-in, 3-month deposit (or waived in JV).
- **Hardware:** volume OEM USD 330/sq.m, FAT (IP65, 5,500 nits, salt spray, 72-hour burn-in) before BL. NovaStar TB60.
- **Sales:** founder-led, 10-second slots in a 100-second loop, 10 slots. Pre-sell 5 before crane. No agency in year 1 unless they bring an IO.
- **Do not:** apartment terrace, domestic meter, NH RoW, ₹1.5 L fixed rent, FOB order before file number, two outdoor boards in year 1.



## 07 Financial plan, uses of funds, unit economics

Planning case: Path A, 32 sq.m, volume OEM, USD/INR 84, Kochi Class A, 10 × ₹50,000, hybrid rent. Mid-range live cash **₹41 L**. Founder 10% = **₹4.1 L**. Gap = **₹36.9 L**.

### 7.1 Uses — Round 0 (founder 10%)

| Use                                                 | ₹               | Why this, not steel                                         |
|-----------------------------------------------------|-----------------|-------------------------------------------------------------|
| Company, GSTIN, current account, CA                 | 30,000          | You cannot raise into a proprietorship with a cousin's PAN. |
| Advocate: title + hybrid licence draft + stamp plan | 60,000          | No NOC, no deal.                                            |
| Structural PE on a named building + frame design    | 1,00,000        | Investors will ask; insurers will ask.                      |
| IBPMS / KMBR drawings + s. 272 file opening         | 70,000          | This is the product Round 1 buys against.                   |
| Inspectorate sketch + KSEB sub-meter paperwork      | 30,000          | Start the queue; do not pay full connection yet.            |
| Sales kit, site photography, 8 weeks promoter float | 80,000          | Five LOIs are the other half of de-risking.                 |
| Contingency / travel / Corporation miscellaneous    | 40,000          | Files move on chai and presence.                            |
| <b>Round 0 total (the 10%)</b>                      | <b>4,10,000</b> | <b>Must leave a Corporation file number + 5 LOIs</b>        |

If a named building is not in hand by week 3, stop spending. Do not “keep the consultant busy.”

### 7.2 Uses — Round 1 (the 90%, after file number)

| Use                                                      | ₹ L          | Note                                                      |
|----------------------------------------------------------|--------------|-----------------------------------------------------------|
| Screen + structure + electrics (cash, incl. IGST)        | 31.1         | Volume OEM. ITC on IGST ~₹2.1 L.                          |
| Remaining year-0 tax, insurance, Inspectorate, sub-meter | 4.0          | Round 0 already spent ~₹1.5–2 L of the ₹5–8 L admin band. |
| Landlord deposit (or waived in JV)                       | 1.5          | 3 months of ₹50,000 floor. 6 months if owner insists.     |
| Working capital — 1 month power + CMS                    | 0.8          | Do not go live with a dark meter.                         |
| <b>Round 1 uses</b>                                      | <b>~37.4</b> | <b>Closes ~₹41 L live cash with Round 0 already spent</b> |

### 7.3 Site 1 monthly P&L (building, Kochi Class A)

|                                              | 50% sold       | 75% sold       | 90% sold       |
|----------------------------------------------|----------------|----------------|----------------|
| Gross advertising revenue                    | ₹2.50 L        | ₹3.75 L        | ₹4.50 L        |
| Hybrid rent                                  | ₹50,000        | ₹67,500        | ₹81,000        |
| Power + tax + CMS + AMC                      | ₹82,000        | ₹82,000        | ₹82,000        |
| <b>Leftover before commission and salary</b> | <b>₹1.18 L</b> | <b>₹2.26 L</b> | <b>₹2.87 L</b> |

Founder sells in year 1 (no 10% agency). Simple payback on ₹41 L at 75% sold is about **18 months**. At 50% it is about **35 months** — still a business, not a mall trap. Pre-sell half the loop so you never live the 0% case (floor rent + power still ~₹1.3 L/month dark).

Unipole 1-face leftover at 75% is similar (~₹2.20 L) but payback stretches to ~26 months on ~₹58 L live. Dual unipole leftover ~₹4.74 L at 75% — attractive only if Round 1 can actually close at ₹75–90 L. With 10% cash, it usually cannot.

#### 7.4 If the 10% is of the six-node cheque, not of Site 1

Some promoters mean “I have 10% of ₹1.5–2.0 Cr” (₹15–20 L), not 10% of ₹41 L. That is a different conversation, and still not a six-node raise.

| Founder cash             | What it funds                                                              | What it still does not fund                                               |
|--------------------------|----------------------------------------------------------------------------|---------------------------------------------------------------------------|
| ₹4.1 L (10% of Site 1)   | Round 0 only: file, PE, LOIs                                               | Deposit, LED, tax challan in full                                         |
| ₹15–20 L (10% of 6-node) | Round 0 + landlord deposit + year-1 tax + a thicker working-capital buffer | The screen. Round 1 shrinks to ~₹25–28 L equity, which is an easier close |
| ₹41 L (100% of Site 1)   | You do not raise. You switch on Path A yourself                            | Still do not order a second pole                                          |

#### TELL THE INVESTOR WHICH 10% YOU MEAN

Write the number in rupees on page one of the data room: “Founder cash in the company as of [date]: ₹\_\_\_\_.” Ambiguity here is how otherwise serious meetings die in the first five minutes.

## 08 SWOT — investor-facing

This is the SWOT a Big Four would put in the IC memo: capital and permission first, not LED pitch-size. Operational SWOT of Path A vs Path B sits in the companion cost pack.

### STRENGTHS

- Unit economics of one legal Kochi outdoor face dwarf indoor: ~₹2.3 L leftover at 75% vs ~₹0.3 L on a mall kiosk.
- Building mount keeps Site 1 inside a ₹40 L raise — fundable by one angel + prepay, not a VC process.
- Permission, once held, is slow for copiers; Corporation LED scarcity is a tailwind for legal private inventory.
- Hybrid rent and founder-as-salesperson keep the cash-out low in year 1.
- Visible asset: investors can stand on the footpath and see what they funded. Rare in “tech” pitches.
- Round 0 uses the 10% on artefacts investors actually diligence (file number, PE cert, LOIs).

### WEAKNESSES

- Ten percent cash. No books. First-time promoter. Every Round 1 cheque is a personal-trust cheque.
- Permission is political (30–90 days; 4–6 months if highway-facing). Calendar can eat the civil window.
- Single-site concentration: one demolition order or slab refusal kills the only asset.
- Power is the second-largest site cost. Auto-dimming is a P&L control, not a nice-to-have.
- FOB USD 330 is not secured; customs reclass to 20% BCD adds ~₹1 L+ on one face.
- No in-house fabrication or media-network brand. You are an operator, not Times OOH.

### OPPORTUNITIES

- Landlord JV: terrace + deposit waived for 12–25% of the SPV — the cleanest way to shrink the 90%.
- Advertiser-investor: a jewellery / hospital / auto group takes two slots and ₹10–18 L of CCPS.
- Kerala NRI / Gulf family capital, on FEMA-clean terms, is a real channel — not a VC deck.
- Customer 3-month prepay (₹5–7.5 L) is non-dilutive working capital once the file exists.
- Equipment hypothecation after import can take ₹8–12 L of peak cash off the equity ask.
- Site 2 (Kozhikode) can be a follow-on after proof-of-play, not part of this raise.

### THREATS

- Selling 40% for ₹10 L to a “media partner” who only knows flex. That is a failed raise, not a close.
- Raising ₹2 Cr on a six-node slide with no file. Sophisticated money will walk; unsophisticated money will own you.
- Ordering FOB before s. 272: warehouse rent then exceeds the fee; monsoon can void IP warranty at ICTT.
- NHAI / High Court climate: private terrace is not a loophole. Highway-facing still needs PWD/NHAI.
- Landlord rent reset, association politics, domestic-meter temptation, neighbour glare petitions.
- Hiring a Big Four implementation team or a “CMO” before the crane. The 10% dies of overhead.

## 09 Capital formation — closing the 90%

### THE PITCH LINE (USE THIS, NOT A TAM)

We are not raising to buy a network. We are raising to switch on one legal Kochi face that already has a Corporation file and five brand LOIs. The 10% founder cash bought the permission. Your money buys the screen.

Round 1 is a **barbell**: some non-dilutive cash (prepay, optional debt, landlord in-kind) plus one equity cheque. Do not run a 40-investor seed. Do not talk to SaaS VCs.

### 9.1 Sources to close ~₹37 L (planning close)

| Source                            | Instrument                                         | ₹ L             | Dilution             | Condition to draw                          |
|-----------------------------------|----------------------------------------------------|-----------------|----------------------|--------------------------------------------|
| Founder (already in)              | Equity — Round 0                                   | 4.1             | Founder residual     | Spent on file + LOIs                       |
| Landlord                          | Deposit waived + 3-month holiday, or 12–20% equity | 1.5–3.0 saved   | 0–20%                | Clean title, hybrid licence                |
| Anchor brands                     | 3-month prepay on 5 slots, GST invoice, escrow     | 7.5             | 0%                   | File number + sightline photos             |
| Angel / NRI / advertiser-investor | CCPS, 18–24 month conversion                       | 18.0            | 16–22%               | Data room; personal guarantee on any debt  |
| NBFC / equipment (optional)       | Hypothecation of LED post-import                   | 8–10            | 0% (debt)            | GSTIN, banked account, often PG of founder |
| <b>Planning close</b>             | <b>Equity + prepay + in-kind (± debt)</b>          | <b>~41 live</b> | <b>Founder ≥ 65%</b> | <b>No FOB until money is in escrow</b>     |

If NBFC says no (likely without two years of books), increase the CCPS cheque to ~₹25–28 L or deepen the landlord JV. Do not fill the hole with a moneylender against the family house if the sightline is not signed.

### 9.2 Two acceptable structures

|                         | Structure 1 — Angel heavy  | Structure 2 — Landlord JV (preferred if owner is real) |
|-------------------------|----------------------------|--------------------------------------------------------|
| Founder                 | 78% ordinary               | 68% ordinary                                           |
| Angel / NRI             | 22% CCPS for ₹18–22 L      | 15% CCPS for ₹15–18 L                                  |
| Landlord                | 0% (cash rent + deposit)   | 17% for terrace + deposit waived + holiday             |
| Customers               | ₹7.5 L advance, not equity | ₹7.5 L advance, not equity                             |
| Debt                    | ₹8–10 L if available       | Avoid if JV already shrinks cash                       |
| Post-money (indicative) | ₹80–1,00 L                 | ₹80–1,00 L including in-kind at conservative value     |

Indicative math: ₹18 L for 20% implies ₹90 L post-money. That is enough for a first-time promoter with a file and LOIs, and not so high that Round 2 is boxed in. Anyone offering ₹10 L for 40% is buying the company, not funding a screen.

### 9.3 Who actually writes cheques in this market

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- **Advertiser-investors** — jewellery, hospitals, auto dealers, education groups who already buy Kochi outdoor. Best fit: 2 slots + CCPS.
- **NRI / Gulf family** — Kerala's real informal VC. Use FEMA-clean CCPS, Indian company, authorised dealer bank. Not hawala, not cash in a bag.
- **One Kochi or Bangalore angel** who has operated OOH, print, or mall media. Not a SaaS fund. Not a "startup community."
- **Not:** seed VCs, listed NBFCs without books (unless LAP on other property — generally refuse), crypto, partnership with a flex contractor who wants 50% and the crane contract.

### 9.4 What the 10% must never fund

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- FOB cabinets, a unipole fabrication advance, or a mall licence deposit.
- A Big Four, a branding agency, or a full-time CMO.
- Personal lifestyle. Round 0 is a file and five meetings a week in Ernakulam.

## 10 Fundraising process, materials, who to call

A Big Four would not “run a roadshow” on this ticket unless separately retained. They would build a **12-week close process** the promoter executes. Start the process only when Round 0 artefacts exist. Talking before that trains investors to say no.

### 10.1 Twelve-week close (after file number)

| Week | Promoter does                                                          | Investor sees                                              |
|------|------------------------------------------------------------------------|------------------------------------------------------------|
| 1–2  | Data room live. 15-name list. Warm intros only (CA, advocate, brands). | This memo + cost pack + file scan + LOIs.                  |
| 3–5  | 8–10 first meetings. Site walk. One term sheet target, not five.       | Slab, sightline at peak hour, hybrid licence draft.        |
| 6–8  | Exclusive with one lead (21-day exclusivity). Lawyer on SHA/SSA.       | Cap table, use of funds, FAT protocol, escrow instruction. |
| 9–12 | Money in escrow. Then OEM booking. Then crane.                         | No steel ordered on a promise.                             |

### 10.2 Data room index (keep it thin)

1. This strategy memorandum + the cost/SWOT PDF + the execution blueprint PDF.
2. Certificate of incorporation, PAN, GSTIN, shareholding (founder 100% pre-round).
3. Owner NOC, title note from advocate, hybrid licence draft.
4. Corporation file number / acknowledgement; tax challan if already paid.
5. Structural PE certificate (IS 875, 39 m/s) on *that* building.
6. Five LOIs: advertiser, period, slot count, price, prepay willingness.
7. OEM FAT protocol and two quote comparisons (volume vs premium).
8. 18-month cash waterfall (this section 7 and 9).
9. Draft CCPS term sheet (section 11).

That is nine folders. Not a brand film. Not a 40-slide TAM.

### 10.3 Meeting script (12 minutes)

1. The asset: one legal Kochi face, this building, this sightline (photo).
2. The constraint we already solved: permission and 50% demand (file + LOIs).
3. The cheque: ₹18 L CCPS for ~20%, uses on one page, founder stays operator.
4. The return path: 18-month payback at 75%; follow-on only after proof-of-play.
5. The kill criteria: no NH RoW, no FOB before escrow, no second node in this round.

## 11 Governance, cap table, term-sheet headlines

Keep the company boring and clean. Investors in a ₹18 L cheque still walk if the SHA looks like a VC growth round — or if there is no SHA at all.

| Item             | Headline for Round 1                                                                                                                                                       |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Vehicle          | One private limited company. No LLP, no “we’ll incorporate later.” Optional site SPV only if landlord insists — still 100% owned by the HoldCo except landlord’s agreed %. |
| Instrument       | CCPS, compulsorily converting in 18–24 months or at Round 2, 1:1 into equity, 8% non-cumulative coupon accruing.                                                           |
| Amount / %       | ₹15–22 L for 16–22%. Founder not below 65% fully diluted after landlord (if any).                                                                                          |
| Valuation        | ₹70–90 L post-money. Information rights, not a board veto on operations. Board: founder + 1 investor observer.                                                             |
| Use of proceeds  | LED + structure + remaining statutory + deposit + 1 month WC. No related-party drain, no other city.                                                                       |
| Reserved matters | New debt > ₹10 L, second site, related-party contracts, founder salary > ₹50k/month in year 1, sale of the face.                                                           |
| Founder vest     | 4-year reverse vest with 1-year cliff on a portion (25%) so a disappearing promoter does not strand the LED.                                                               |
| Information      | Monthly occupancy, proof-of-play, bank balance. Quarterly unaudited. Year-1 audit.                                                                                         |
| Exit             | No promise of IPO. Path is cash yield + optional sale of the site company to a network after 3 years of clean files.                                                       |

### PERSONAL GUARANTEE

NBFCs will ask for a personal guarantee. Angels sometimes will. Give it on equipment debt if the LED is hypothecated and insured. Do not give an unlimited PG on landlord make-good of someone else’s building. Cap any PG at the debt principal.

## 12 Conditions precedent and 90-day workplan

### DO NOT OPEN ROUND 1 UNTIL ALL OF THESE EXIST

Written owner NOC; advocate title note; structural PE on that slab; IBPMS / s. 272 file number; five brand LOIs covering  $\geq 50\%$  of the loop; hybrid licence in draft; GSTIN live. Until then, the only money that moves is the ₹4.1 L Round 0 wallet.

| Week | Do                                                                                                                                            | Spend from the 10% | Do not                                                                                |
|------|-----------------------------------------------------------------------------------------------------------------------------------------------|--------------------|---------------------------------------------------------------------------------------|
| 1–2  | Incorporate / GST if needed. Shortlist 5 commercial buildings. Advocate on the best two titles. Confirm the ₹4.1 L is in the company account. | ~₹0.6 L            | Apartment terraces; domestic meters; NH RoW plots; OEM calls that “need 50% advance.” |
| 3–4  | Written NOC. PE on the chosen slab. Hybrid licence drafted. IBPMS + s. 272 opened. One-pager + rate card to 20 brands.                        | ~₹1.7 L            | Order FOB. Pay a “liaison” cash to skip the file. Sign ₹1.5 L fixed rent.             |
| 5–8  | Chase the file in person. Inspectorate sketch. Collect 5 LOIs. Build the nine-folder data room. 15-name investor list, no outbound spam.      | ~₹1.2 L            | Hire staff. Start a unipole soil bid “just in case” unless Path A is dead.            |
| 9–12 | File still moving: keep selling. File in hand: 12-week Round 1 process (section 10). Escrow. Then FAT/OEM.                                    | Remainder          | Crane. Dual-face. Kozhikode. Mall MoUs. Big Four implementation.                      |

### Kill switches (write these on the inside cover of the bank passbook)

- No named commercial building with a real sightline by week 4 → stop. Keep the rest of the 10%.
- No file number by week 16 → do not raise; do not import; revisit Path B only if setbacks and title are clean.
- No 50% LOIs by crane minus 30 days → delay install; do not go live dark.
- Any term sheet > 30% dilution for < ₹15 L → walk.

If Path A is impossible and Path B (unipole) is the only lawful sightline, restart this memo with live cash ₹55–62 L (1-face) or ₹75–90 L (dual). The 10% then funds soil + KMBR as a new structure + KSEB new-connection queue — still not the pole. The fundraising logic does not change: **permission and demand first, steel second.**

Independent working paper, September 2026. This is not a legal opinion, a valuation, a securities offer, or a report of Deloitte, PwC, EY, KPMG or any affiliate. Planning rates (advertisement tax, KSEB LT-VII(A), customs BCD, stamp duty) change by gazette and council resolution. Confirm with Kochi / Kozhikode / Kannur Corporation Revenue, KSERC, CBIC, an authorised dealer bank (for any NRI cheque), and a practising Kerala advocate before committing capital. Companion files: docs/Kerala\_D00H\_Cost\_Estimate\_and\_SWOT.pdf, docs/Kerala\_D00H\_Network\_Blueprint.pdf, dooh\_kerala\_calculator.py. Regenerated with python3 scripts/build\_strategy\_capital\_pdf.py.